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**Appendix 1: Lead Agency Implementation Plan
for**

State/Territory New Jersey

FFY 2025 – 2027

Version: Initial Plan

Plan Status: Approved as of 2024-11-09 00:31:17 GMT

For each non-compliance, Lead Agencies must describe the following:

- **Action Steps:** List the action steps needed to correct the finding (e.g., update policy manual, legislative approval, IT system changes, etc.). For each action step list the:
 - o **Expected Completion Date:** List the expected completion date for the action step.
- **Overall Target Date for Compliance:** List date Lead Agency anticipates completing implementation, achieving full compliance with all aspects of the findings. (Note: Compliance will not be determined until the FFY 2025-2027 CCDF Plan is amended and approved).

ELIGIBILITY AND ENROLLMENT:CONTINUITY OF CARE (12-MONTH ELIGIBILITY)

Reason(s) for non-compliance:

- The Lead Agency does not always provide a minimum 12-month eligibility period for each child, as required by 98.21(a)(1). (Plan Questions 2.5.2a and 2.5.2c)

Overall Target Completion Date: 10/01/2024

Action Step Number	Action Step Description	Target Completion Date
1	On September 20, 2024, New Jersey issued an updated 12-month eligibility policy via email. Based on DFDI 24-09-01, a family that is approved for CCAP assistance by the CCR&R at initial eligibility or redetermination shall be eligible for no less than a 12-month eligibility period. If the family requests less than 12 months of assistance, the family shall be authorized to receive CCAP assistance for the period requested but shall still be provided a minimum 12-month eligibility period. If the family meets the applicable eligibility requirements to add a new child, the CCR&R shall add the child to the family's existing CCAP case and authorize a 12-month eligibility period for the new child and extend the existing eligibility period of the current child(ren) to align with the newly added child's 12-month eligibility period. In addition, updates have been made to our CARES system to ensure 12 months of continuous care is provided to each child.	10/01/2024

EQUAL ACCESS:AFFORDABILITY

Reason(s) for non-compliance:

- The Lead Agency does not provide data on the extent to which CCDF providers charge families additional amounts above the required co-payment (including data on the size and frequency of such amounts), as required by 98.45(b)(5). (Plan Question 3.1.2eii)

Overall Target Completion Date: 04/30/2026

Action Step Number	Action Step Description	Target Completion Date
1	In order to streamline data integrity of the CCDF provider rates and determine additional amounts, the CCR&Rs are required to enter Provider Rate information collected annually on the Child Care Providers Program Profile Form into New Jersey Child Care Information System (NJCCIS), NJ's statewide integrated provider management system, https://njccis.com All CCDF provider rate information entered into NJCCIS flows directly to our child care eligibility determination system, Child Care Automated Resource and Eligibility System (CARES). Thereby, when child care agreements between parents and providers are established and the required co-payments are calculated based on rates recorded in NJCCIS.	09/30/2025
2	Beginning with the 2026 Market Rate Study, New Jersey will collect and analyze provider rate data to isolate providers who 1) Accept Child Care Assistance Program (CCAP) participants; and 2) Charge rates higher than the state reimbursement rate. New Jersey will design survey questions specifically targeted to those providers to determine the extent to which they collect the difference between their provider rate and the state reimbursement rate from CCAP participants and/or whether other special consideration is made for those affected parents.	04/30/2026
3	DHS/DFD will analyze the gathered data to identify trends and patterns in additional charges. It will also pinpoint any missing or inconsistent information and take measures to resolve any gaps. It is important to note that multiple data collection sources and manual tracking/analysis pose data quality and consistency challenges,	04/30/2026

	thus, detailed summaries will be provided regarding the volume and frequency of these additional charges.	
4	DHS/DFD will leverage the data to guide policy decisions, evaluating whether additional charges pose obstacles for low-income families. If needed, policies or agreements with providers will be revised to address excessive or unjust charges. The findings will be shared with stakeholders to foster trust and ensure transparency in compliance.	04/30/2026

EQUAL ACCESS:PAYMENT PRACTICES

Reason(s) for non-compliance:

- The Lead Agency does not pay all provider types prospectively or alternatively does not demonstrate that it is not a generally-accepted practice for all provider types, as required by 98.45(m)(1). (Plan Question 4.4.1a). Please note the Lead Agency has an approved waiver for this requirement through July 31, 2026.

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	DHS/DFD will conduct in-depth research, peer-to-peer meetings to learn best practices, explore existing models and approaches, convene a planning committee. In addition, time is needed to develop a communication plan, conduct outreach, and development and design of a payment IT solution, which involves procurement activities. DHS/DFD will work closely with ACF and request technical assistance to help New Jersey plan and prepare for implementing the prospective payments provision of CCDF.	07/31/2026
2	Develop Payment Policies: Pay based on enrollment rather than attendance to ensure	07/31/2026

	stability for providers. Issue payments in advance for pre-determine period (weekly, bi-weekly or monthly).	
3	Design the Payment System: Develop a system to process prospective payments, ensuring compliance with CCDBG reporting and audit requirements. The functionalities will include family and provider enrollment and payment tracking. Furthermore, ensure system complies with data protection standards to safeguard information.	07/31/2026
4	Training: Train and offer technical assistance for providers on managing prospective payments, maintaining enrollment records, and meeting CCDBG compliance requirement. Provide family outreach for families to understand how payments are made and their responsibilities of reporting changes in circumstances.	07/31/2026
5	Monitor and Compliance: Track payment timeliness, participation rate and provider feedback. Conduct regular audits to ensure compliance with CCDBG rules. Evaluate the impact of prospective payments on provider stability and family access.	07/31/2026

EQUAL ACCESS:PROVIDER OPTIONS FOR PARENTS

Reason(s) for non-compliance:

- The Lead Agency does not provide grants or contracts for direct services for children with disabilities, as required by 98.30(b)(1). (Plan Question 4.5.1i). Please note the Lead Agency has an approved waiver for this requirement through August 1, 2026.

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
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1	DHS/DFD will seek technical assistance to understand how other states contract to serve children with special needs.	06/30/2025
2	DHS/DFD to conduct a needs assessment to identify critical areas of need to ensure contracts increase families' access and options and not limit them.	07/31/2026
3	DHS/DFD to evaluate and revise existing contracts.	07/31/2026
4	DHS/DFD to build framework for new contracts and begin drafting the direct contracts in form of MOU/MOAs .	07/31/2026
5	DHS/DFD to create system modifications needed to accurately collect, and track data and monitor utilization, trends and gaps.	07/31/2026

HEALTH AND SAFETY:POSTING INSPECTION REPORTS

Reason(s) for non-compliance:

- The Lead Agency does not post full monitoring and inspection reports that include all areas of compliance and non-compliance for licensed centers, license-exempt family child care providers, license-exempt in-home providers, and out-of-school programs, as required by 98.33(a)(4). (Plan Question 5.5.4a). Please note the Lead Agency has an approved waiver for portions of this requirement through December 31, 2024.
- The Lead Agency monitoring and inspection reports do not contain all the required elements, specifically, corrective action taken by the State and child care provider, and a minimum of three years of results where available, as required by 98.33(a)(4). (Plan Question 5.5.4b)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	DHS/DFD has been working with essential government partners to collaborate and coordinate efforts to discuss necessary changes to the inspection reports.	07/31/2026

	DHS/DFD is progressing with key activities, including the redesign of the four provider type monitoring reports (Center, Family Child Care, Family, Friends, and Neighbor, and Youth Camps) to track compliance, non-compliance, and corrective actions, which are currently in progress and expected to be completed soon. System changes are underway in New Jersey's Child Care Information System (licensing) to ensure all required standards are included and monitored, as well as have the necessary coding to meet CCDF requirements. Inspectors will be scheduled to be trained on the new monitoring reports, and information capture for public posting.	
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COMPREHENSIVE BACKGROUND CHECK:5 YEAR RENEWAL

Reason(s) for non-compliance:

- The Lead Agency does not conduct all background checks every 5 years, as required by 98.43(d)(2)(ii). (Plan Question 5.7.17)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	The National Center on Subsidy Innovation and Accountability (NCSIA) facilitated a virtual technical assistance (TA) session from September 18-20, 2024, with New Jersey's Department of Human Services (DHS), Department of Health, Department of Children and Families (DCF), and NCSIA staff. The TA session assisted New Jersey staff in identifying areas of challenge and mapping the Lead Agency's comprehensive background check process.	07/31/2026

	DHS/DFD has been working with essential government partners to collaborate and coordinate efforts to enact regulatory changes.	
2	New Jersey will issue updated notices to all the eligible providers, draft policy, and provide technical assistance to service vendors responsible for managing and overseeing the criminal background checks process. Policy will outline the following: • The scope of required checks (state, federal, fingerprinting and registries). • A timeline for periodic checks (every five years as per CCDBG). • Procedures for tracking and securely storing background check results. • Disqualification criteria based on CCDBG and state guidelines. • Clear process for resolving disputes related to background check results.	07/31/2026
3	Implement Provider Tracking Mechanisms: Create an IT solution that will centralize the background check processes, to include, • Maintain accurate records of all childcare staff, including the dates of initial and subsequent background checks. • Develop tools to help childcare staff track their compliance and due dates for rechecks.	07/31/2026
4	Monitor Compliance: Regularly review compliance rates and address gaps or delays in the background check process.	07/31/2026

COMPREHENSIVE BACKGROUND CHECK:IN-STATE

Reason(s) for non-compliance:

- The Lead Agency does not require and conduct in-state criminal history background checks with fingerprints for all child care staff members under age 18 (including prospective staff members), as required by 98.43(b)(3)(i), 98.42(b)(2)(i)(B), and

98.43(a). (Plan Questions 5.7.1a and 5.7.1b)

- The Lead Agency does not require and conduct in-state sex offender registry checks for all child care staff members under age 18 (including prospective staff members), as required by 98.43(b)(3)(ii), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Questions 5.7.4a and 5.7.4b)
- The Lead Agency does not require and conduct child abuse and neglect registry checks for all child care staff members under age 18 (including prospective staff members), as required by 98.43(b)(3)(iii), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Questions 5.7.5a and 5.7.5b)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	As of September 16, 2024, Licensed Child Care Centers received notification removing the age 18 requirement to comply with CCDBG requirements. All child care centers must ensure all center staff, who are or will be working at the center on a regular scheduled basis, including but not limited to sponsors, sponsor representatives and volunteers, obtain a Criminal History Record Information (CHRI) check resulting in a CHRI clearance letter dated January 1, 2021, or after. All center staff includes staff who are under 18 years of age.	10/01/2024
2	The National Center on Subsidy Innovation and Accountability (NCSIA) facilitated a virtual technical assistance (TA) session from September 18-20, 2024, with New Jersey's Department of Human Services (DHS), Department of Health, Department of Children and Families (DCF), and NCSIA staff. The TA session assisted New Jersey staff in identifying areas of challenge and mapping the Lead Agency's comprehensive background check process.	10/01/2024
3	To adhere to regulations requiring in-state criminal history background check with fingerprints and sex offender registry check for all child care staff members, including those under the age of 18 (both current and prospective staff members), New Jersey will issue updated notices to all the eligible providers, draft policy, and provide technical assistance to service vendors	07/31/2026

	responsible for managing and overseeing the criminal background checks process. Policy will outline the following: • The scope of required checks (state, federal, fingerprinting and registries). • A timeline for initial and periodic checks (every five years as per CCDBG). • Procedures for tracking and securely storing background check results. • Disqualification criteria based on CCDBG and state guidelines. • Clear process for resolving disputes related to background check results.	
4	DHS/DFD has been working with essential government partners to collaborate and coordinate efforts to enact regulatory changes. Current policy aligns with New Jersey's statutes (N.J.S.A. 30:5B-6.10 to 6.17) that require staff members who are 18 or older to complete a CHRI fingerprint background, which includes FBI and state criminal repository, and sex offender registry. New Jersey will initiate regulatory change to require all individuals covered by the CCDF regulation to comply with CCDBG criminal background check requirements.	07/31/2026

COMPREHENSIVE BACKGROUND CHECK:PRE-SERVICE CHECK REQUIREMENTS (PROVISIONAL HIRE)

Reason(s) for non-compliance:

- The Lead Agency does not require a qualifying result on a prospective staff member from a FBI criminal background check or an in-state criminal background check with fingerprints before they begin work, as required by 98.43(d)(4). (Plan Questions 5.7.12a and 5.7.12b)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	DHS/DFD is working with DCF to update the rules. DCF is amending the Manual of Requirements for Child Care Centers, N.J.A.C. 3A:52, to align with CCDF rules. While current regulations for centers allow a period of up to two weeks after new staff begin to complete all background check components and staff must be supervised and not left alone to care for children, the new rule will require centers to complete background checks for staff prior to employment.	07/31/2026

COMPREHENSIVE BACKGROUND CHECK:INTER-STATE

Reason(s) for non-compliance:

- The Lead Agency does not require and conduct interstate criminal history background checks for any staff member under age 18 (including prospective staff members) who lived in other state(s) in the past 5 years, other than relative providers, as required by 98.43(b)(3)(i)(B), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Questions 5.7.6a and 5.7.6b)
- The Lead Agency does not require and conduct interstate sex offender registry checks for any staff member under age 18 (including prospective staff members) who lived in other state(s) in the past 5 years, other than relative providers, as required by 98.43(b)(3)(ii), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Questions 5.7.7a and 5.7.7b)
- The Lead Agency does not require and conduct interstate CAN registry checks for any staff member under age 18 (including prospective staff members) who lived in other state(s) in the past 5 years, as required by 98.43(b)(3)(iii), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Questions 5.7.8a and 5.7.8b)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	As of September 16, 2024, Licensed Child Care Centers received notification removing the age 18 requirement to comply with CCDBG requirements. All child care centers must ensure all center staff, who are or will be working at the center on a regularly scheduled basis, including but not limited to sponsors, sponsor representatives and	10/01/2024

	volunteers, obtain a Criminal History Record Information (CHRI) check resulting in a CHRI clearance letter dated January 1, 2021, or after. All center staff includes staff who are under 18 years of age.	
2	The National Center on Subsidy Innovation and Accountability (NCSIA) facilitated a virtual technical assistance (TA) session from September 18-20, 2024, with New Jersey's Department of Human Services (DHS), Department of Health, Department of Children and Families (DCF), and NCSIA staff. The TA session assisted New Jersey staff in identifying areas of challenge and mapping the Lead Agency's comprehensive background check process.	10/01/2024
3	To adhere to regulations requiring interstate background check, interstate sex offender registry check and interstate child abuse and neglect registry check for all child care staff members, including those under the age of 18 (both current and prospective staff members), New Jersey will issue updated notices to all the eligible providers, draft policy, and provide technical assistance to service vendors responsible for managing and overseeing the criminal background checks process. Policy will outline the following: • The scope of required checks (state, federal, fingerprinting and registries). • A timeline for initial and periodic checks (every five years as per CCDBG). • Procedures for tracking and securely storing background check results. • Disqualification criteria based on CCDBG and state guidelines. • Clear process for resolving disputes related to background check results.	07/31/2026
4	DHS/DFD has been working with essential government partners to collaborate and coordinate efforts to enact regulatory changes. Current policy aligns with New Jersey's statutes (N.J.S.A. 30:5B-6.10 to 6.17) that require staff members who are 18 or older to complete a CHRI	07/31/2026

	fingerprint background, which includes FBI and state criminal repository, and sex offender registry. New Jersey will initiate regulatory change to require all individuals covered by the CCDF regulation to comply with CCDBG criminal background check requirements.	
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PROGRAM INTEGRITY:FRAUD INVESTIGATION, PAYMENT RECOVERY, AND SANCTIONS

Reason(s) for non-compliance:

- The Lead Agency does not include the results of the activities to investigate and recover fraudulent payments, as required by 98.68(b)(2). (Plan Question 10.2.2b)

Overall Target Completion Date: 06/30/2025

Action Step Number	Action Step Description	Target Completion Date
1	Overpayments of \$100 or greater are reviewed, investigated, and substantiated. Repayment agreements are established with the parents then sent to the FIRM (DHS/DFD's Fraud Identification and Recovery Management) to enter into ONETrac, a system to monitor and collect/track payments.	06/30/2025
2	Once an overpayment is established, the CCR&R will inform the parent and together the CCR&R and parent will agree on a repayment plan. The CCR&R forwards the repayment plan to the FIRM (DHS/DFD's Fraud Identification and Recovery Management), who then enters the repayment plan into the DHS/DFD system (ONETrac) and monitors payments.	06/30/2025
3	Recovery of payment is requested from the NJ Set-Off of Individual Liability (SOIL) system after a parent is 120 days delinquent. During this period, following numerous outreach attempts by the FIRM (DHS/DFD's Fraud Identification and	06/30/2025

	Recovery Management) with an opportunity to modify the repayment agreement, the FIRM enters the recovery request into SOIL.	
4	Once the CCR&R discovers, investigates and substantiates a parent overpayment, the CCR&R forwards the claim to FIRM (DHS/DFD's Fraud Identification and Recovery Management). The FIRM then 1) enter the claim into ONETrac; 2) mail out consent and notice of repayment agreement; 3) mail out monthly billing statements to parents; 4) track payments made by parents; 5) enter cases into SOIL after 120 days of nonpayment; 6) send the office of child care and CCR&R the monthly payment report, which will identify which parents made payments.	06/30/2025

COMPREHENSIVE BACKGROUND CHECK:NATIONAL FINGERPRINT

Reason(s) for non-compliance:

- The Lead Agency does not require and conduct FBI criminal history background checks with fingerprint for all child care staff members under age 18 (including prospective staff members), as required by 98.43(b)(1), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Questions 5.7.2a and 5.7.2b)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	As of September 16, 2024, Licensed Child Care Centers received notification removing the age 18 requirement to comply with CCDBG requirements. All child care centers must ensure all center staff, who are or will be working at the center on a regularly scheduled basis, including but not limited to sponsors, sponsor representatives and volunteers, obtain a Criminal History Record Information (CHRI) check resulting in a CHRI clearance letter dated January 1, 2021, or after. All center staff includes staff who are under 18	10/01/2024

	years of age.	
2	The National Center on Subsidy Innovation and Accountability (NCSIA) facilitated a virtual technical assistance (TA) session from September 18-20, 2024, with New Jersey's Department of Human Services (DHS), Department of Health, Department of Children and Families (DCF), and NCSIA staff. The TA session assisted New Jersey staff in identifying areas of challenge and mapping the Lead Agency's comprehensive background check process.	10/01/2024
3	To adhere to regulations requiring FBI criminal history background checks with fingerprints for all child care staff members, including those under the age of 18 (both current and prospective staff members), New Jersey will issue updated notices to all the eligible providers, draft policy, and provide technical assistance to service vendors responsible for managing and overseeing the criminal background checks process. Policy will outline the following: • The scope of required checks (state, federal, fingerprinting and registries). • A timeline for initial and periodic checks (every five years as per CCDBG). • Procedures for tracking and securely storing background check results. • Disqualification criteria based on CCDBG and state guidelines. Clear process for resolving disputes related to background check results.	07/31/2026
4	DHS/DFD has been working with essential government partners to collaborate and coordinate efforts to enact regulatory changes. Current policy aligns with New Jersey's statutes (N.J.S.A. 30:5B-6.10 to 6.17) that require staff members who are 18 or older to complete a CHRI fingerprint background, which includes FBI and state criminal repository, and sex offender	07/31/2026

	registry. New Jersey will initiate regulatory change to require all individuals covered by the CCDF regulation to comply with CCDBG criminal background check requirements.	
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COMPREHENSIVE BACKGROUND CHECK:NATIONAL NAME-BASED

Reason(s) for non-compliance:

- The Lead Agency does not require and conduct NCIC NSOR name-based background checks for all child care staff members under age 18 (including prospective staff members) of non-relative unlicensed, unregulated, or unregistered providers eligible for CCDF participation (i.e., license-exempt providers), as required by 98.43(b)(2), 98.42(b)(2)(i)(B), and 98.43(a). (Plan Question 5.7.3b)

Overall Target Completion Date: 07/31/2026

Action Step Number	Action Step Description	Target Completion Date
1	As of September 16, 2024, Licensed Child Care Centers received notification removing the age 18 requirement to comply with CCDBG requirements. All child care centers must ensure all center staff, who are or will be working at the center on a regularly scheduled basis, including but not limited to sponsors, sponsor representatives and volunteers, obtain a Criminal History Record Information (CHRI) check resulting in a CHRI clearance letter dated January 1, 2021, or after. All center staff includes staff who are under 18 years of age.	10/01/2024
2	The National Center on Subsidy Innovation and Accountability (NCSIA) facilitated a virtual technical assistance (TA) session from September 18-20, 2024, with New Jersey's Department of Human Services (DHS), Department of Health, Department of Children and Families (DCF), and NCSIA staff. The TA session assisted New Jersey staff in identifying areas of challenge and mapping	10/01/2024

	the Lead Agency's comprehensive background check process.	
3	To adhere to regulations requiring NCIC NSOR background check for all child care staff members, including those under the age of 18 (both current and prospective staff members), New Jersey will issue updated notices to all the eligible providers, draft policy, and provide technical assistance to service vendors responsible for managing and overseeing the criminal background checks process. Policy will outline the following: • The scope of required checks (state, federal, fingerprinting and registries). • A timeline for initial and periodic checks (every five years as per CCDBG). • Procedures for tracking and securely storing background check results. • Disqualification criteria based on CCDBG and state guidelines. • Clear process for resolving disputes related to background check results.	07/31/2026
4	DHS/DFD has been working with essential government partners to collaborate and coordinate efforts to enact regulatory changes. Current policy aligns with New Jersey's statutes (N.J.S.A. 30:5B-6.10 to 6.17) that require staff members who are 18 or older to complete a CHRI fingerprint background, which includes FBI and state criminal repository, and sex offender registry. New Jersey will initiate regulatory change to require all individuals covered by the CCDF regulation to comply with CCDBG criminal background check requirements.	07/31/2026